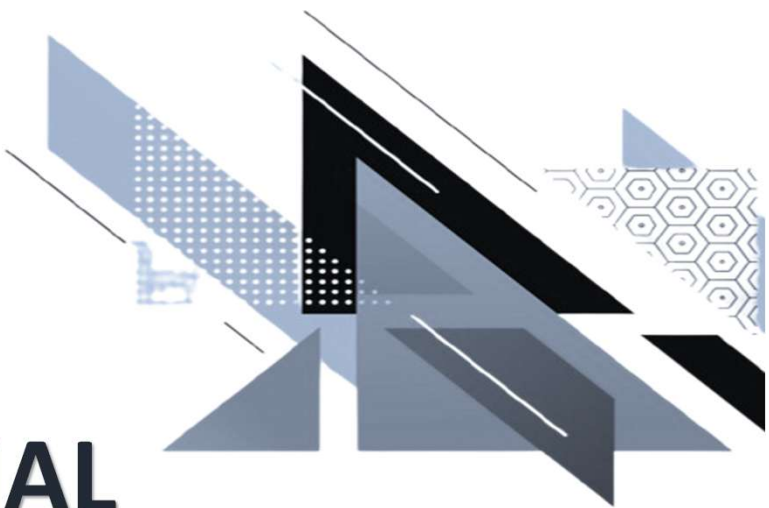




INTERNAL AUDIT REPORT



2025





PT Karya Prima Unggulan

INTERNAL AUDIT REPORT

PERIOD : JANUARY 2025 - DECEMBER 2025

AUDIT COVERAGE : FINANCIAL PROCESSES AND COMPLIANCE

DEPARTMENT COVERAGE : ALL DEPARTMENT

AREA : BALI, JAKARTA, MEDAN AND BATAM

AUDIT TEAM :	ELISIA SUTRISNA	ENGAGEMENT LEAD
	KADEK WAHYUDI	TEAM LEAD
	SRI NADI DEVI	MEMBER
	HENDRA WIRAWAN	MEMBER
	POPPY KERISTINA	MEMBER

DEPARTEMENT COMPLETION DATE :			PAGE		
DEPARTMENT :	FINANCE	January 31, 2025	8	-	8
	HUMAN RESOURCES	February 28, 2025	9	-	9
	OPERATIONAL	April 30, 2025	10	-	10
	MERCHANDISE	May 31, 2025	11	-	11
	WAREHOUSE	July 31, 2025	12	-	12
	SECURITY	August 31, 2025	13	-	13
	ACCOUNTING	August 31, 2025	14	-	14
	MANAGEMENT INFORMATION SYSTEMS	November 30, 2025	15	-	15
	GENERAL & AFFAIR	November 30, 2025	16	-	16
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				-	

DATE OF ISSUED : April 22, 2025





PT Karya Prima Unggulan

INTERNAL AUDIT REPORT

AUDIT PERIOD 2025

PREPARED BY :

ELISIA SUTRISNA

ENGAGEMENT LEAD

DATE

KADEK WAHYUDI

TEAM LEAD

DATE

MANAGEMENT APPROVAL,

AUDIT COMMITTEE,

PRESIDENT DIRECTOR,

GN HIANG LIN

IR. WONG BUDI SETIAWAN

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Executive Summary

1. Executive Summary

1.1 Introduction

The purpose of this internal audit report is to provide a comprehensive analysis of the organization's operational integrity and compliance for the fiscal year ending 2025. In an ever-evolving regulatory landscape, maintaining robust internal controls and adhering to relevant laws and company policies is crucial for safeguarding the organization's assets and reputation.

This audit was undertaken to assess the effectiveness of internal processes across various departments, ensuring that they not only meet the established standards but also align with the organization's strategic objectives. By evaluating compliance with standard operating procedures (SOPs), government regulations, and tax laws specific to Indonesia, this audit aims to identify areas of strength as well as opportunities for improvement.

The findings in this report are intended to assist management in enhancing operational efficiency, mitigating risks, and fostering a culture of compliance throughout the organization. Ultimately, the insights gained from this audit will provide a foundation for informed decision-making and strategic planning moving forward.

1.2 Scope of the Audit

The audit covered activities and processes across the following departments:

- **Finance:** Cash management, budgeting, and financial reporting.
- **Accounting:** General ledger, accounts payable, accounts receivable, and financial closing processes.
- **Human Resources (HRD):** Employee recruitment, payroll, training, and compliance with labor laws and Company's regulations.
- **General Affairs:** Facilities management, office services, and procurement of general supplies.
- **Store Design & Planning:** Store layout design, planning processes, and project management.
- **Tax:** Tax reporting, compliance, and reconciliation.
- **Security:** Physical security, access control, and incident management.
- **Management Information Systems (MIS):** IT governance, data security, system access controls, and disaster recovery.
- **Merchandise:** Inventory management, vendor relations, and pricing strategies.
- **Operational:** Day-to-day operations, compliance with operational procedures, and performance metrics.
- **Warehouse:** Inventory control, stock management, and logistics.

1.3 Key Findings

- **Finance:** Cash handling errors, late deposits due to hold for the small change money, incomplete vendor document & lack of authorization controls.
- **Accounting:**
- **Human Resources (HRD):** Incomplete employee documents, double medical reimbursement claims, inconsistent approval processes for medical reimbursements & outdated company regulations.
- **General Affairs:**
- **Store Design & Planning:**
- **Tax:**
- **Security:**
- **Management Information Systems (MIS):**
- **Merchandise:**
- **Operational:**
- **Warehouse:**

1.4 Conclusion

1.5 Summary of Key Recommendations

Audit Objectives and Scope

2. Audit Objectives and Scope

2.1 Objectives

The overarching objectives of this audit were:

- To evaluate the adequacy and effectiveness of internal controls across multiple departments.
- To assess compliance with organizational policies, external regulations, and industry best practices.
- To identify opportunities for process improvements and operational efficiency.
- To assess the risk management practices in place within each department.

2.2 Scope

The audit covered the following departments:

- **Finance:** Focused on cash management, budgeting, and financial reporting.
- **Accounting:** Reviewed general ledger, accounts payable, accounts receivable, and financial closing procedures.
- **Human Resources (HRD):** Examined employee recruitment, onboarding, payroll, and compliance with labor laws.
- **General Affairs:** Reviewed procurement, office services, and facilities management.
- **Store Design & Planning:** Assessed project management processes and resource allocation for new store developments.
- **Tax:** Focused on tax reporting, filing, and reconciliation.
- **Security:** Reviewed physical security measures, access controls, and incident response processes.
- **Management Information Systems (MIS):** assessed data security, access controls, and disaster recovery planning.
- **Merchandise:** Focused on inventory management, vendor relationships, and pricing strategies.
- **Operational:** Examined the effectiveness of day-to-day operational processes.
- **Warehouse:** Reviewed inventory control, stock management, and logistics efficiency.

Audit Approach and Methodology

3. Audit Approach and Methodology

3.1 Audit Approach

The audit followed a risk-based approach, focusing on areas with higher potential for non-compliance, operational inefficiencies, and financial risks. The methods used included:

Document Review: Reviewed policies, procedures, financial statements, tax filings, HR records, security logs, and project management documentation.

Interviews: Conducted interviews with department heads and key personnel to understand current processes and internal controls.

Data Analysis: Analyzed financial data, tax filings, inventory reports, and payroll records to identify discrepancies and inefficiencies.

Process Walkthroughs: Observed key processes in action, such as cash handling, inventory management, and onboarding procedures.

Sampling: Selected a representative sample of transactions, employee files, and inventory records for testing.

3.2 Standards Followed

The audit was conducted in accordance with the **International Standards for the Professional Practice of Internal Auditing (IIA Standards)** and followed the organization's internal policies and applicable regulatory requirements.

3.3 Sampling Methodology

The sampling methodology for this internal audit employed two primary approaches: random sampling and judgmental sampling. Each method was tailored to enhance the effectiveness of the audit while ensuring comprehensive coverage of high-risk areas.

1. Random Sampling Method

Definition: Random sampling involves selecting a subset of transactions or records from the entire population in such a way that each item has an equal chance of being included.

Purpose : This method aims to provide an unbiased representation of the population, reducing the risk of selection bias and ensuring that findings reflect the overall situation.

Implementation:

- Population Identification : Define the entire population from which samples will be drawn
- Sample Size Determination : Calculate an appropriate sample size based on the population size, desired confidence level, and margin of error.
- Random Selection Process : Use random number generators or statistical software to select transactions, ensuring that each has an equal opportunity to be included.

Advantages:

- Minimizes selection bias.
- Provides a broader perspective of the organization's operations.

Limitations:

- May not focus on high-risk areas; important transactions could be missed.

2. Judgmental Sampling Method

Definition : Judgmental sampling involves selecting specific transactions or records based on predefined criteria and the auditor's professional judgment.

Purpose : This method targets high-risk areas or transactions that are more likely to reveal issues, ensuring a focused audit approach.

Implementation:

Risk Assessment : Identify high-risk areas

Criteria Development : Establish specific criteria for selection, such as transaction size, frequency, or recent changes in procedures.

Selection Process : Choose transactions based on the established criteria, documenting the rationale for each selection.

Advantages:

- Focuses on high-risk areas, increasing the likelihood of identifying significant issues.
- Allows for flexibility based on the auditor's insights and experience.

Limitations:

- Potential for selection bias; findings may not represent the entire population.

4. Methodology

The following points outline the audit methodology used during the internal audit:

4.1 Planning Phase

- Define audit objectives and scope.
- Identify key risks and areas of concern through preliminary assessments.
- Develop an audit plan outlining the timeline, resources needed, and specific areas to be tested.

4.2 Fieldwork Phase

- **Data Collection:** Gather relevant documents, records, and transaction data from various departments.
- **Interviews:** Conduct interviews with key personnel to understand processes, controls, and any issues faced.
- **Observations:** Observe operational processes in real-time to assess compliance with established procedures.

4.3 Testing Phase

- **Substantive Testing:** Perform detailed testing of selected transactions to verify accuracy and compliance with policies.
- **Control Testing:** Evaluate the effectiveness of internal controls by testing their design and operational effectiveness.
- **Analytical Procedures:** Use analytical techniques to identify trends, anomalies, or unexpected variances in financial data.

4.4 Documentation Phase

- Maintain detailed documentation of all findings, evidence collected, and testing performed.
- Document the rationale for sampling decisions and any deviations from the audit plan.

4.5 Reporting Phase

- Compile findings into a comprehensive audit report, summarizing key issues identified, risk ratings, and recommendations.
- Present the report to management, highlighting critical areas that require immediate attention.

5.5 Follow-Up Phase

- Establish a follow-up plan to monitor the implementation of recommendations.
- Schedule follow-up audits as necessary to ensure that corrective actions have been taken and are effective.

By employing both random and judgmental sampling methods, along with a structured audit methodology, this internal audit aims to provide a thorough assessment of the Company's controls and processes, ensuring a comprehensive evaluation of risks and compliance.

Findings & Recommendations

5 Finding & Recommendation
#N/A Department : []
5.1.[] Finding : []
Area Audit :
Audit Program Code :
Risk :
Risk Description :
Effect if not mitigate :

Risk Rating : [Low, Moderate, High]
Recommendation

Audit Response
Auditee agrees to [] by [date].

Management Response
Management agrees to [] by [date].

5.1.[] Finding : []
Area Audit :
Audit Program Code :
Risk :
Risk Description :
Effect if not mitigate :

Risk Rating : [Low, Moderate, High]
Recommendation

Audit Response
Auditee agrees to [] by [date].

Management Response
Management agrees to [] by [date].

5.1.[] Finding : []
Area Audit :
Audit Program Code :
Risk :
Risk Description :
Effect if not mitigate :

Risk Rating : [Low, Moderate, High]
Recommendation

Audit Response
Auditee agrees to [] by [date].

Management Response
Management agrees to [] by [date].

5.1.[] Finding : []
Area Audit :
Audit Program Code :
Risk :
Risk Description :
Effect if not mitigate :

Risk Rating : [Low, Moderate, High]
Recommendation

Audit Response
Auditee agrees to [] by [date].

Management Response
Management agrees to [] by [date].

Conculsion

6 Conclusion
#N/A Department

#N/A Department

#N/A Department

#N/A Department

#N/A Department

Appendices

7 Appendic

7.1 Appendic A - Audit Timelines

7.2 Appendic B - Samples Selection Methodology

Overview of Sampling Methods:

[Description of the random and judgmental sampling methods used.]

Population Description:

[Details of the total population from which samples were drawn (e.g., number of transactions, documents).]

Sample Size Calculation:

[Explanation of how the sample size was determined, including confidence levels and margins of error.]

Selection Criteria:

[Specific criteria used for judgmental sampling, including definitions of high-risk areas.]

7.3 Appendic C - Risk Assessments

Risk Matrix

[illegible]